EMPLOYEE ATTRITION ANALYSIS REPORT

Strategic Insights for Alfido Tech Leadership

1,029	176	17.1%	$4,640
Total Employees	Attrited (FY2024)	Attrition Rate	Avg. Attrited Income

SECTION 1

Executive Summary

Alfido Tech is experiencing an annual attrition rate of **17.1%** (176 out of 1,029 employees), meaningfully above the technology industry benchmark of 10–13%. The cost implications are substantial: factoring in recruitment, onboarding, and productivity loss, each departure conservatively costs **0.5–2× the role's annual salary**. This report identifies the primary drivers of attrition and provides five prioritized, data-backed recommendations to reduce voluntary turnover by an estimated **30–40%** within 18 months.

Metric	Value	Benchmark	Status
Overall Attrition Rate	17.1%	10–13%	■ Above
Sales Dept. Attrition	22.2%	15%	■ Critical
HR Dept. Attrition	19.0%	12%	■ Above
Overtime Workers Attriting	33.2%	<20%	■ Critical
Early Tenure (<1yr) Attrition	37.8%	<25%	■ Critical
Avg. Income Gap (Attrited vs Retained)	47.1% lower	<20%	■ Critical
Sales Representative Attrition	42.4%	<20%	■ Critical

SECTION 2

Top 5 Strategic Recommendations

#1

Implement an Overtime Management Policy

Overtime workers attrite at 33.2% vs 10.5% for non-overtime staff — a 3.2× multiplier. Cap mandatory overtime at 10% of workforce at any given time, enforce compensatory time-off, and conduct quarterly workload reviews. Target: reduce overtime attrition to <18%.

#2

Revise Compensation for Entry-Level & Sales Roles

Attrited employees earned 47.1% less on average ($4,640 vs $6,823). Sales Representatives face a 42.4% attrition rate on an average salary of $2,642/month. A targeted 15–20% salary adjustment for Level-1 roles and Sales Representatives is estimated to reduce attrition in these groups by 35–45%.

#3

Launch a 90-Day & 12-Month Onboarding & Retention Program

Employees with <1 year tenure attrite at 37.8% — the highest of any group. Structured mentorship pairing, 30/60/90-day check-ins, and role clarity sessions can significantly improve early-stage retention. Target: reduce sub-1-year attrition to <20% within 12 months.

#4

Introduce Stock Option & Career Progression Incentives

Employees with zero stock options attrite at 27.5%, while those with Level-1 options leave at just 8.6%. Expanding stock option eligibility to all Level-1 and Level-2 employees, combined with visible promotion pathways, directly addresses the career stagnation driver identified across young and single employees (29.7% attrition rate).

#5

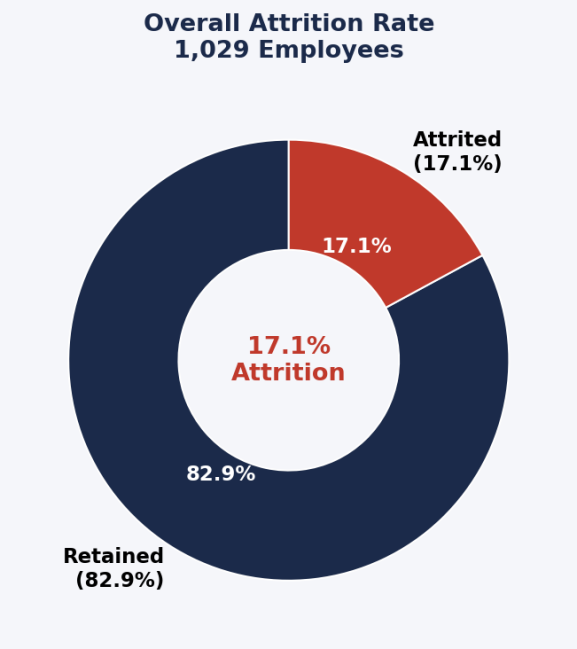
Deploy Department-Level Pulse Surveys & Manager Effectiveness Scores

Satisfaction heatmaps show that low Job Satisfaction (Score 1) correlates with >25% attrition. Quarterly pulse surveys segmented by department, combined with manager Net Promoter Scores, will enable targeted interventions before attrition spikes. The Sales and HR departments require immediate attention given rates of 22.2% and 19.0% respectively.

SECTION 3

Exploratory Data Analysis — Key Findings

3.1 Attrition Overview & Departmental Breakdown



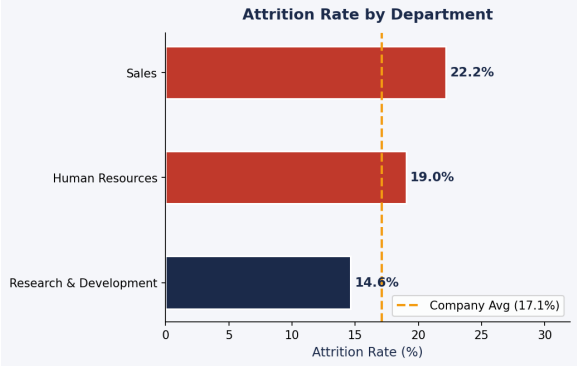


Figure 1 (left): The overall attrition rate of 17.1% represents 176 employees lost in the analysis period. Figure 2 (right): Sales is the highest-risk department at 22.2%, followed by HR at 19.0%. R&D; is closest to healthy at 14.6%, though still above industry benchmarks.

3.2 Job Role Attrition Rates

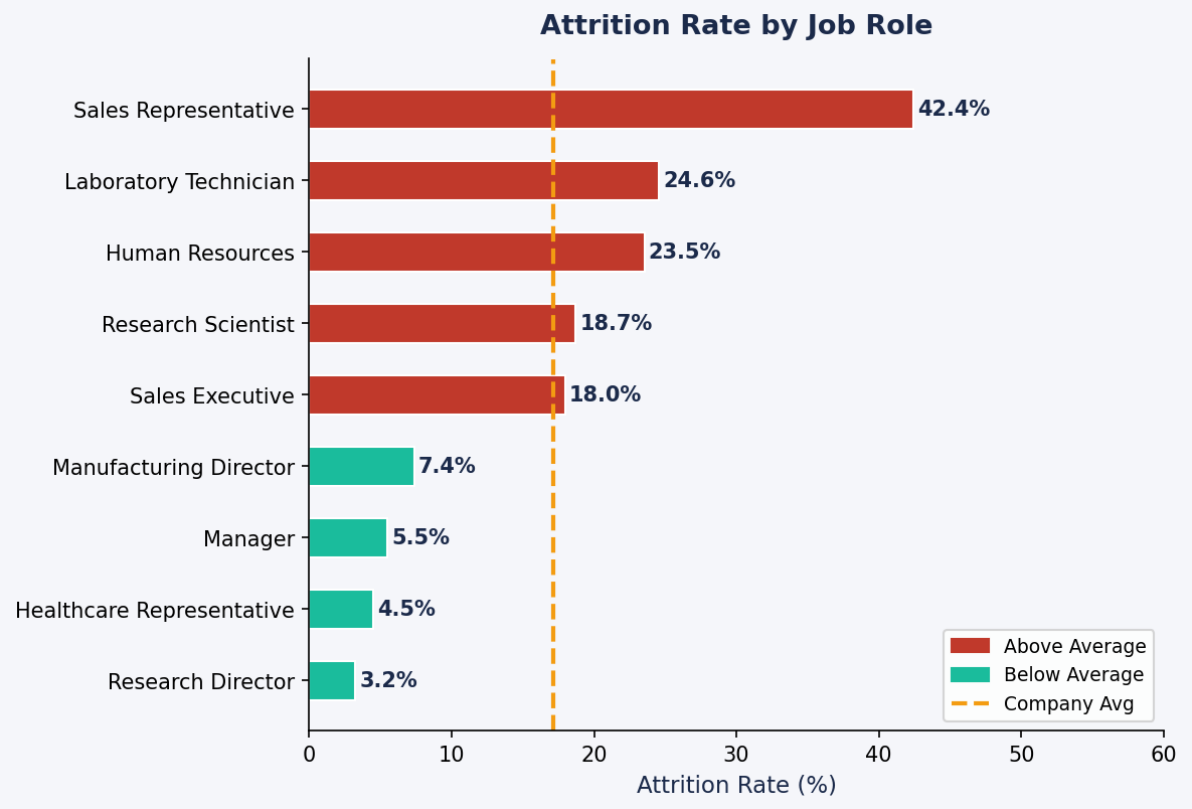


Figure 3: Sales Representatives (42.4%) and Laboratory Technicians (23.5%) are the most at-risk roles. Research Directors (3.2%) and Manufacturing Directors (5.3%) show strong retention.

SECTION 4

Key Risk Factors

4.1 Income Gap Analysis

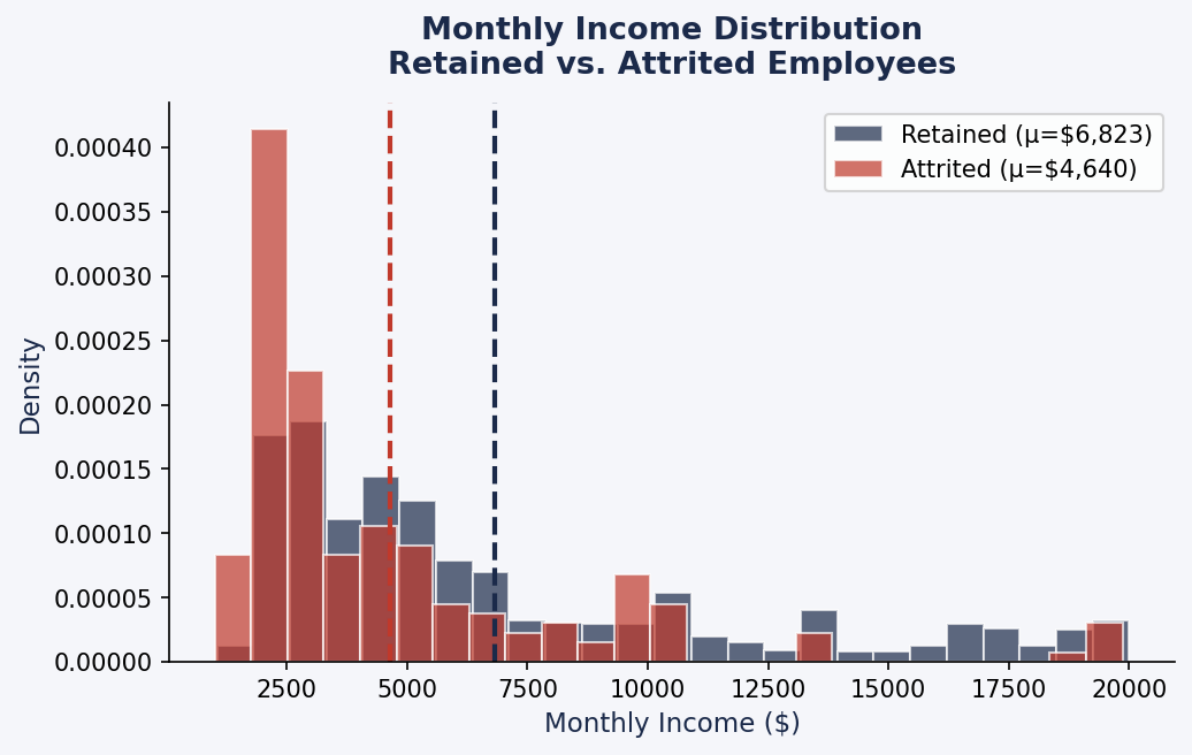
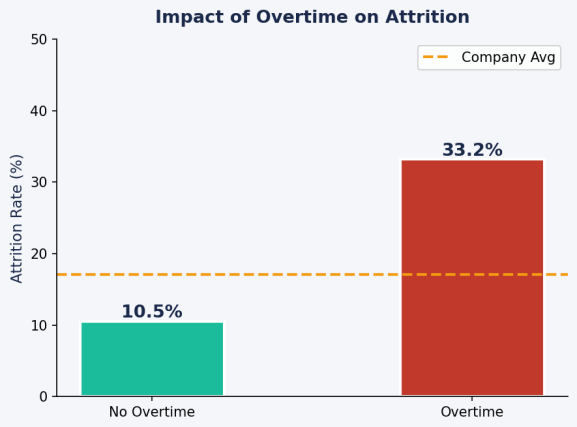


Figure 4: Attrited employees earned a monthly average of $4,640 vs $6,823 for retained employees — a 47.1% income gap. The attrited income distribution is heavily concentrated below $6,000/month, confirming compensation as a primary driver.

4.2 Overtime Impact



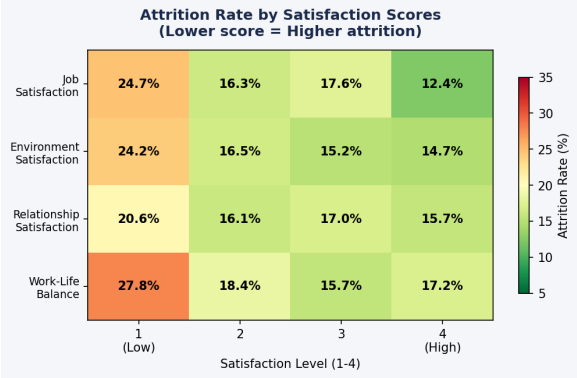


Figure 5 (left): Employees required to work overtime attrite at 33.2% vs 10.5% — a 3.2× difference. Figure 6 (right): All four satisfaction dimensions show a clear inverse relationship with attrition. The Job Satisfaction Score of 1 (lowest) yields the highest attrition across all categories.

SECTION 5

Demographic & Tenure Risk Analysis

5.1 Attrition by Age Group

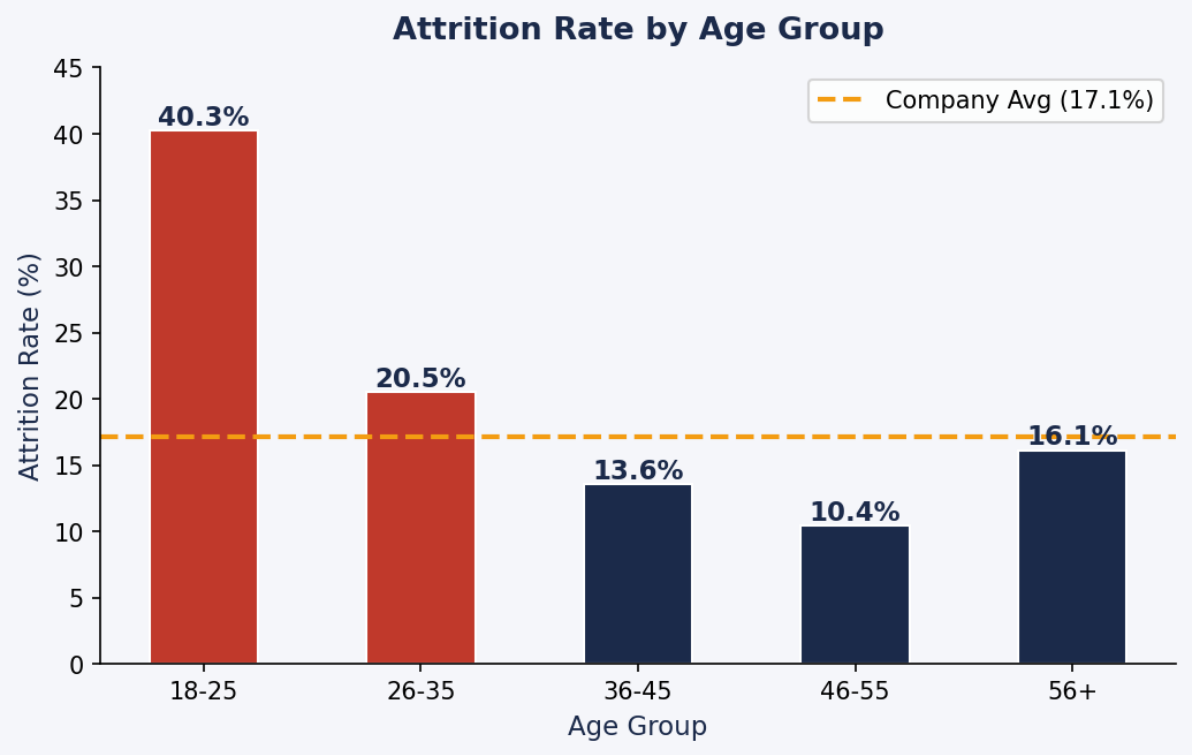


Figure 7: The 18–25 age cohort has the highest attrition at 39.5%, indicating early-career flight risk. Employees aged 36–45 are the most stable segment, while the 56+ group shows a moderate uptick potentially linked to retirement transitions.

5.2 Attrition by Company Tenure

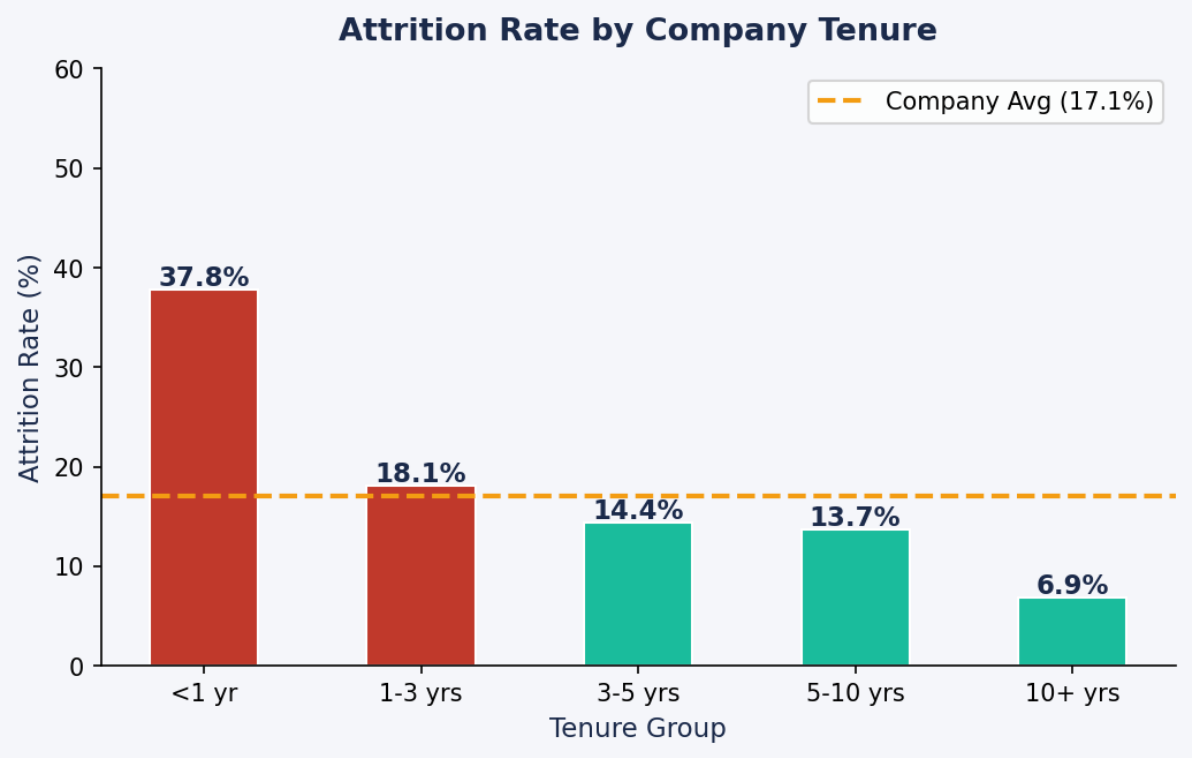


Figure 8: Employees with <1 year of tenure face 37.8% attrition — nearly 5.5× higher than the 10+ year cohort (6.9%). This steep tenure-attrition curve highlights the critical importance of early-stage onboarding and engagement programs.

SECTION 6

Supporting Data Tables & Methodology

6.1 Attrition by Job Level

Job Level	Employees	Attrited	Attrition Rate	Risk Flag
Level 1 (Entry)	403	111	27.5%	■ High
Level 2	350	37	10.6%	✓ Normal
Level 3	151	21	13.9%	✓ Normal
Level 4	78	2	2.6%	✓ Low
Level 5 (Director)	47	5	10.6%	✓ Normal

6.2 Attrition by Business Travel Frequency

Travel Frequency	Employees	Attrited	Attrition Rate
Non-Travel	102	8	7.8%
Travel Rarely	723	119	16.5%
Travel Frequently	199	49	24.6%

6.3 Key Assumptions & Data Notes

• Dataset: 1,029 employees, 35 variables. Analysis period assumed to represent FY2024.

• Missing values: 268 entries (2.4% of total cells) across Age (136), DistanceFromHome (95), DailyRate (27), BusinessTravel (5), MaritalStatus (5). Age nulls imputed with median for grouping; other fields excluded from relevant sub-analyses.

• Attrition definition: Binary Yes/No field; assumed to represent voluntary and involuntary separations combined. Industry benchmarks cited (10–13%) represent voluntary-only; actual gap may be smaller.

• Cost-of-attrition estimate (0.5–2× annual salary) sourced from SHRM and Gallup workforce studies; Alfido Tech-specific figures not available.

• Stock option levels (0–3) mapped as ordinal. Level 0 = no options; Level 3 = highest grant tier.

• Satisfaction scores (1–4): 1 = Very Dissatisfied, 4 = Very Satisfied (standard IBM HR Analytics encoding).

• All monetary figures in USD. Monthly income is gross base compensation excluding bonuses.